ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 10 of 10 (Start time: 10:10:45 PM, 16 December 2021) **Total Marks:** 1

If the price of a good X is increased by 15% and its quantity demanded falls by 25%, the price elasticity of demand is:

Select the correct option

- ○ Inelastic.
- ◉ elastic.
- ○ Unit elastic.
- ○ Perfectly Inelastic.

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 9 of 10 (Start time: 10:09:03 PM, 16 December 2021) **Total Marks:** 1

What will happen to the supply of a good when government imposes per unit tax on that good?

Select the correct option

- Supply will decrease.
- Supply will be zero.
- Supply will increase.
- Supply will not change.

LEVELS UP WITH LEVELS ACADEMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 8 of 10 (Start time: 10:07:24 PM, 16 December 2021) **Total Marks:** 1

If the price elasticity of demand for a good is infinity,the good has:

Select the correct option

- Unit elastic demand
- Perfectly elastic demand
- Elastic demand
- Inelastic demand

LEVELS UP WITH LEVELS ACADEMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 6 of 10 (Start time: 10:03:55 PM, 16 December 2021) **Total Marks:** 1

Normally the shape of production possibility frontier is:

Select the correct option

- (●) Linear.
- ( ) Convex.
- ( ) Positive.
- ( ) Concave.



ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 5 of 10 (Start time: 10:02:19 PM, 16 December 2021) **Total Marks:** 1

The study of economics basically focuses on:

Select the correct option

- ○ For whom resources are allocated to increase efficiency.
- ○ What scarce resources are used to produce goods and services.
- ◉ How society spends the income of individuals.
- ○ How scarce resources are allocated to fulfill society's goals.

LEVELS UP WITH LEVELS ACADEMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 4 of 10 (Start time: 10:01:03 PM, 16 December 2021) **Total Marks:** 1

..... is sometimes defined as the economics of "what is".

Select the correct option

- ○ Macroeconomics.
- ◉ Positive economics.
- ○ Microeconomics.
- ○ Normative economics.

LEVELS UP WITH LEVELS ACADEMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 3 of 10 (Start time: 09:59:19 PM, 16 December 2021) **Total Marks:** 1

If the cross price elasticity of demand between two products is +3.5, then:

Select the correct option

- The two products are complements.
- One of the products is expensive and one is relatively inexpensive.
- The two products are substitutes.
- One product is a normal good and the other is an inferior good.

LEVELS UP WITH LEVELS ACADMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 2021**

Question # 2 of 10 (Start time: 09:57:39 PM, 16 December 2021) **Total Marks:** 1

The law of supply states that the quantity supplied will go up if:

Select the correct option

- ○ Income goes up
- ○ Income goes down
- ○ Price goes down, other things remaining same.
- ◉ Price goes up, other things remaining same.

LEVELS UP WITH LEVELS ACADEMY ARIFWALA

ECO401 - Economics (Quiz No. 1) **Quiz Start Time: 09:56 PM, 16 December 202**

Question # 1 of 10 (Start time: 09:56:08 PM, 16 December 2021) **Total Marks:**

A shortage is a situation in which:

Select the correct option

- ○ Demand remains neutral
- ○ Supply remains neutral
- ● Demand exceeds supply
- ○ Demand does not exceed supply





Question # 10 of 10 (Start time: 09:29:08 PM, 18 December 2021)

It is expected that the sign of cross price elasticity of demand between two complementary goods would be:

Select the correct option

- (●) Negative.
- ( ) Positive.
- ( ) Ambiguous.
- ( ) Zero.

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Question # 9 of 10 (Start time: 09:28:02 PM, 18 December 2021)

If there is a decrease in consumer's income from Rs.16, 000 to Rs.10, 000, the change in the quantity demanded of normal goods can be shown by:

Select the correct option

- (●) Shifting the demand curve leftward.
- ( ) Moving up along the same demand curve.
- ( ) Moving down along the same demand curve.
- ( ) Shifting the demand curve rightward.

KINEMASTER

Concept Building

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ECO401 - Economics (Quiz No. 1)

Question # 8 of 10 (Start time: 09:26:41 PM, 16 December 2021)

Which of the following prompting producers to produce more and consumers to demand less?

Select the correct option

- Surplus.
- All of the given options.
- Market failure.
- Shortages.

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Concept Building

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TRENCH_REAL_AN....pdf

Question # 7 of 10 (Start time: 09:26:04 PM, 18 December 2021)

If there is an increase in price of oil from Rs.100/liter to Rs.110/liter, the change in the quantity demanded of oil can be shown by:

Select the correct option

- Shifting the demand curve leftward
- Moving up along the same demand curve
- Moving down along the same demand curve
- Shifting the demand curve rightward

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Concept Building

Question # 8 of 10 (Start time: 09:25:24 PM, 16 December 2021)

When an industry's raw material costs decrease, other things remaining the same:

Select the correct option

- Output decreases and the market price also decrease.
- The supply curve shifts to the right.
- The supply curve shifts to the left.
- The demand curve shifts to the right.

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TRENCH_REAL_AN....pdf

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ECO401 - Economics (Quiz No. 1)

Question # 5 of 10 (Start time: 09:25:03 PM, 18 December 2021)

If P = 20 and Q = 50 then TR will be:

Select the correct option

- ○ 5400
- ○ 70
- ◉ 1000
- ○ 30

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Question # 4 of 10 (Start time: 09:24:12 PM, 18 December 2021)

Sugar can be produced from sugar beets. If the price of sugar beets falls, then:

Select the correct option

- The supply curve for sugar would shift right.
- The supply curve for sugar would shift left.
- The demand curve for sugar would shift right.
- The demand curve for sugar would shift left.

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Question # 3 of 10 (Start time: 09:23:11 PM, 16 December 2021)

The law of supply states that the quantity supplied will go up if:

Select the correct option

- Price goes down, other things remaining same.
- Price goes up, other things remaining same.
- Income goes down
- Income goes up

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Question # 2 of 10 (Start time: 09:21:45 PM, 18 December 2021)

If the current market price is above the market clearing level, We will expect a:

Select the correct option

- (●) Shift in the supply curve for wheat to the right.
- ( ) Surplus to accumulate.
- ( ) Shortage to accumulate.
- ( ) Shift in the demand curve for wheat to the left.

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Question # 1 of 10 (Start time: 09:20:45 PM, 18 December 2021)

"Q = a – b P" represents equation of:

Select the correct option

- (●) Demand.
- ( ) Budget line.
- ( ) Labor supply.
- ( ) Supply.

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